



Gavin Newsom, Governor
State of California
Health and Human Services Agency
DEPARTMENT OF MANAGED HEALTH CARE
980 9th Street, Suite 500
Sacramento, CA 95814
Phone: 916-324-8176 | Fax: 916-255-5241
www.DMHC.ca.gov

May 14, 2026

VIA ELECTRONIC MAIL

Evan Escobar
Blue Cross of California
1121 L Street, Suite 500
Sacramento, CA 95814

Re: Proposed Contract Termination with Valley Children's Hospital
Block Transfer Filing No. 2026-HOSP-293
Filed on March 17, 2026

Dear Mr. Evan Escobar:

The Department of Managed Health Care (Department) is reviewing the information in the above-referenced Block Transfer Filing (Filing) submitted by **Blue Cross of California** (Plan) for compliance with the requirements of the Knox-Keene Health Care Service Plan Act of 1975, as amended (Cal. Health & Safety Code § 1340 *et seq.*) and the regulations promulgated thereunder (Cal. Code Regs., Tit. 28, § 1000 *et seq.*).

In the event of contract termination, the Filing proposes to remove **Valley Children's Hospital** (Terminating Hospital) from the Plan's hospital network. The effective date of contract termination between the Terminating Hospital and the Plan (Termination Date) is currently **July 1, 2026**.

Please review the following comments and feel free to contact me if you would like to discuss any of the issues before filing the Plan's response.

1. On the Block Transfer Filing form, in the Filing Info section, the Plan indicated there were zero (0) bed days utilized and zero (0) admits at the Terminating Hospital for the most recently completed Calendar Year. However, in the Enrollee Access section of the Block Transfer Filing form, Plan indicated that **LaSalle Medical Associates** has 91,823 assigned enrollees, utilized 79 bed days, and 35 non-ER admits. Please confirm the following: **Based on the information currently reflected in the Block Transfer Filing form, the Plan confirms the following for Valley Children's Hospital:**

- a. The total number of affected enrollees, **91,823 assigned enrollees for LaSalle Medical Associates**
 - b. The total number of bed days used, **79 bed days**
 - c. The number of non-ER admits, **35 non-ER admits.**
 - d. Whether LaSalle Medical Associates has routine access to the Terminating Hospital, **The filing indicates utilization by LaSalle Medical Associates at the Terminating Hospital. The Plan is confirming internally whether LaSalle Medical Associates has routine access to Valley Children's Hospital and will provide confirmation once validated.**
 - e. If the pending contract termination impacts 50,000 or more enrollees, please submit the relevant portions of the Provider Contract(s) that relate to continuity of care and transition of care. **Because the filing identifies 91,823 assigned enrollees, which exceeds 50,000, the Plan will submit the relevant portions of the applicable Provider Contract(s) that relate to continuity of care and transition of care.**
2. For each affected provider group that utilizes the Terminating Hospital, please summarize or confirm the following:
 - a. Whether the provider group has been contacted, **The Plan will contact impacted provider groups no later than 30 days prior to the effective termination date.**
 - b. Name of contact, phone number, and email address, **The Plan will provide the name of the contact, phone number, and email address for impacted provider groups closer to the effective termination date, as outreach is completed.**
 - c. Whether the provider group expressed concerns, **The Plan will document and assess any concerns expressed by impacted provider groups during outreach activities conducted prior to the effective termination date.**
 - d. Whether the provider group has routine access to the Terminating Hospital, **The Plan will evaluate whether impacted provider groups maintain routine access to the Terminating Hospital as part of the network adequacy and continuity of care review process.**
 - e. The ability of the provider group to redirect enrollees to the Alternate Hospitals: **The Plan will assess the ability of impacted provider groups to redirect enrollees to Alternate Hospitals and will ensure continued compliance with applicable timely access and network adequacy requirements.**
 - i. Whether there is any specialty for which all of the associated specialists have admitting privileges **only** at the Terminating Hospital and not at any of the Alternate Hospitals,
 1. If yes, please identify the specialty and explain how Plan enrollees assigned to the provider group will receive care and services for that specialty following contract termination.

- ii. If the provider group does not have any primary care physicians or specialists with admitting privileges to one or more Alternate Hospitals, please explain how its assigned enrollees will be admitted to the Alternate Hospital(s) (e.g. via hospitalists, Plan admission process, etc.).
 1. If hospitalists are utilized, please indicate:
 - a. The name of the group,
 - b. The number of associated hospitalists, and
 - c. If the hospitalists can admit enrollees for any medically necessary services.
3. In the event of contract termination where the Plan removes the Terminating Hospital from its contracted provider network, please summarize or confirm the following that may result:
 - a. The total number of enrollees, if any, who have a residence or workplace beyond 30 minutes or 15 miles of a contracting or plan-operated hospital, The Plan will update and validate enrollee residence, workplace, provider availability, and network data closer to the effective termination date to determine the number of enrollees, if any, located beyond 30 minutes or 15 miles of a contracting or plan-operated hospital.
 - b. The number of enrollees from 3.a. within each corresponding zip code, The Plan will update the corresponding enrollee counts by zip code closer to the effective termination date to ensure accurate reporting
 - c. The Plan's process for ensuring compliance with Cal. Code Regs., Tit. 28, § 1300.51(d)(H)(ii). (ii) Hospitals. In the case of a full-service plan, all enrollees have a residence or workplace within 30 minutes or 15 miles of a contracting or plan-operated hospital which has a capacity to serve the entire dependent enrollee population based on normal utilization, and, if separate from such hospital, a contracting or plan-operated provider of all emergency health care services. Prior to the effective termination date, the Plan will conduct a timely access and network adequacy review and update enrollee and provider data, as necessary, to ensure continued compliance
4. For provider group, La Salle Medical Associates, the Alternate Hospital detailed in the Services Comparison of this Filing do not provide Acute Neonatal, Acute Pediatric, and Hemodialysis services. Please summarize how the Plan will ensure enrollees will maintain access to Acute Neonatal, Acute Pediatric, and Hemodialysis services at an in-network benefit level post-termination.

The Plan acknowledges that the Alternate Hospitals identified for La Salle Medical Associates do not individually provide Acute Neonatal, Acute Pediatric, and Hemodialysis services.

Following the effective termination date, the Plan will continue to ensure access to these covered services through other contracted in-network providers and facilities within the Anthem Blue Cross Medi-Cal network at the applicable in-network benefit level.

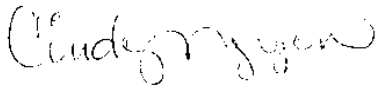
The Plan will also continue to comply with applicable continuity of care, care coordination, and timely access requirements for impacted members.

5. Please identify the number of enrollees who have a procedure scheduled and authorized by the Plan at the Terminating Hospital post-termination. The Plan is currently validating whether any enrollees have procedures scheduled and authorized at the Terminating Hospital for dates of service occurring after the termination effective date. The Plan will provide the requested information upon completion of that review.

Please submit the Plan's response by **May 20, 2026**, via the Block Transfer portal as a "Response to Additional Comment Letter."

Please contact me if there are any questions regarding the above.

Sincerely,



Cindy Nguyen
Analyst II
Office of Plan Monitoring